

25STCV01594 25STCV01594

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Case Number: 25STCV01594 Hearing Date: August 10, 2026 Dept: 732

American Business Bank v. Los Angeles Produce

Distributors, LLC, et al.

Monday, August 10, 2026

CASE NUMBER: 25STCV01594

OPPOSED

Demurrer

to Second Amended Complaint filed by Defendants Jesus Modesto Garcia and Maritza Garcia, as Trustees of The Jesus Modesto and Maritza Garcia Living Trust Dated March 12, 2014

Facts:

This matter arises from a breach of contract. Plaintiff American Business Bank ("Plaintiff") alleges, in relevant part, as follows. Plaintiff, as a lender, entered into a loan agreement (the "First Agreement") with Los Angeles Produce Distributors, LLC ("LAPD") for \$3 million, with a maturity date for the loan of July 15, 2022. (Second Amended Complaint ("SAC"), ¶ 12.)

The

First Agreement was guaranteed for \$1 million by several defendants, including The Jesus Modesto and Maritza Garcia Living Trust dated March 12, 2014 (the "Trust"). (Id.) Defendants Jesus Modesto Garcia ("Jesus") and

Maritza Garcia (“Maritza”) (collectively “Defendants”), as Trustees of the Trust, executed a commercial guaranty for \$1 million in favor of Plaintiff relating to the First Agreement (the “First Guaranty”). (Id., ¶ 17.)

Plaintiff

and LAPD entered into a second agreement (the “Second Agreement”) reducing the principal loan from \$3 million to \$2 million and extending the maturity date of the First Agreement to January 15, 2024.
(Id., ¶ 21.)

The

Second Agreement was also guaranteed by several defendants, including the Trust for an “unlimited” amount. (Id.) Defendant Jesus, as an individual guarantor, executed a commercial guaranty for an unlimited amount in favor of Plaintiff relating to the Second Agreement (the “Second Guaranty”). (Id., ¶ 24; Exh. 11.) Moreover, Jesus, as Trustee of the Trust, executed a commercial guaranty in favor of Plaintiff relating to the Second Agreement. (Id., ¶ 25; Exh. 12.)

Maritza,

as Trustee of the Trust, also personally executed a commercial guaranty in favor of Plaintiff relating to the Second Agreement. (Id., ¶ 26; Exh. 13.) The Second Guaranty attached as Exhibit 13 shows the “DocuSign Envelope ID” as BFA4FEE0-2FBB-AC2D-89920875E10B. (Id., ¶ 27.) Attached as Exhibit 14 is a copy of the “DocuSign Certificate of Completion” with reference to “DocuSign Envelope ID” BFA4FEE0- 2FBB-AC2D-89920875E10B. This document indicates that on February 8, 2024, at 8:09:28 p.m. Maritza “viewed” the Second Guaranty attached as Exhibit 13. This document also indicates that on February 8, 2024, at 8:09:52 p.m. Maritza “signed” the Second Guaranty attached as Exhibit 13. (Id., ¶ 28.)

Therefore,

both Jesus and Maritza, in their separate capacities as co-trustees of the Trust, reviewed and signed the Second Guaranty. (Id., ¶ 29.)

LAPD

defaulted on the loan, and Plaintiff sent a notice of acceleration to the several defendants that had guaranteed the loan (the “Notice”), including the Trust. (Id., ¶ 43.) The Notice demanded that the guaranteeing parties, including the Trust, pay the sum of \$2,019,818.06, plus \$694.44 per day for interest, by November 22, 2024.

(Id., ¶ 45.) The guaranteeing parties, including the Trust, failed to pay the amount, and Plaintiff seeks to recover the amount due on the loans. (Id., ¶¶ 44, and 46.)

Procedural

History: Plaintiff filed the Complaint on January 21, 2025.

On

April 15, 2026, Plaintiff filed the operative SAC, alleging causes of action for:

1.

Breach of Written Business Loan Agreement;

2.

Breach of Written Promissory Note;

3.

Breach of Commercial Guaranty;

4.

Unjust Enrichment;

5.

Fraudulent Inducement;

6.

Fraud;

7.

Open Book Account; and

8.

Account Stated.

On

April 20, 2026, Plaintiff dismissed the cause of action for unjust enrichment.

On

May 15, 2026, Defendants, in their capacities as trustees, filed a demurrer to the cause of action for breach of commercial guaranty against the Trust. On July 16, 2026, Plaintiff filed an opposition to the demurrer. On August 3, 2026, Defendants filed a reply.

Analysis:

I.

LEGAL STANDARD

A demurrer tests the pleadings alone and not the evidence or other extrinsic matters. (SKF Farms v. Superior Court (1984) 153 Cal. App. 3d 902, 905.) Accordingly, “[w]hether the plaintiff will be able to prove the pleaded facts is irrelevant to ruling upon the demurrer.” (Stevens v. Superior Court (1986) 180 Cal.App.3d 605, 609-10.) “When considering demurrers, courts read the allegations liberally and in context.” (Taylor v. City of Los Angeles Dept. of Water and Power (2006) 144 Cal.App.4th 1216, 1228.) “In a demurrer proceeding, the defects must be apparent on the face of the pleading or via proper judicial notice.” (Donabedian v. Mercury Ins. Co. (2004) 116 Cal.App.4th 968, 994.) “The only issue involved in a demurrer hearing is whether the [pleading], as it stands, unconnected with extraneous matters, states a cause of action.” (Hahn v. Mirda (2007) 147 Cal.App.4th 740, 747.)

A demurrer should not be sustained without leave to amend if the complaint, liberally construed, can state a cause of action under any theory or if there is a reasonable possibility the defect can be cured by amendment. (Schifando v. City of Los Angeles, supra, 31 Cal.4th at p. 1081.) The demurrer may be sustained without leave to amend where the nature of the defects and previous unsuccessful attempts to plead render it probable plaintiff cannot state a cause of action. (Krawitz v. Rusch (1989) 209 Cal.App.3d 957, 967.)

II.

DISCUSSION

As a preliminary matter, the Court finds the meet and confer requirement has been satisfied, as Defendants attest to their attempts to meet and confer with Plaintiff regarding the issues presented by this demurrer.

(Code Civ. Proc., § 430.41; Thomas Decl., ¶ 4.) The Court thus turns to the merits.

Defendants demur to

the breach of commercial guaranty cause of action against the Trust on the grounds it fails to state sufficient facts to state a cause of action.

Specifically, Defendants contend the Trust cannot be bound by the Second Guaranty because it was only signed by Jesus. Defendants

point to Probate Code section 15620, which provides that a trust's powers may only be exercised on the unanimous actions by the co-trustees. Defendants contend that Maritza did not sign the Second Guaranty and the Certification of Trust does not constitute ratification where there is no showing of knowledge by Maritza of the material circumstances to constitute ratification, including the Trust's obligations with respect to LAPD's default contained in a separate agreement, and the language of the Certification of Trust pertains to contemporaneous and future conduct, not past conduct. Defendants argue that Plaintiff's reliance on Probate Code section 18100.5 is also misplaced where Plaintiff had actual knowledge that Jesus did not have sole authority to act on behalf of the Trust, and the transaction is not enforceable against Trust assets.

The SAC alleges, in relevant part, that the Trust guaranteed the Second Agreement by executing the Second Guaranty, but despite LAPD defaulting on the loan and the Trust receiving the Notice, the Trust has failed to make any payments to Plaintiff.

The SAC further alleges that each Co-Trustee, Jesus and Martiza, signed the Guaranty and Plaintiff has attached Exhibits 12 and 13, two copies of the Second Guaranty, which both have the signatures of the Co-Trustees. While Defendants argue that the Certification of Trust does not constitute ratification, Plaintiff is not alleging Martiza ratified the contract, but that she signed it herself.

As to the allegations relating to Maritza signing the Second Guaranty, Defendants argue that the Docusigned Certificate of Completion reflects that the e-mail address to which the contract was sent was to Maritza was . (SAC, ¶ 28, Ex. 14, pg 1.) The Docusign Certification of Completion for the Certification of Trust, which was Docusigned the same date as the Second Guaranty (Exhibit 13) and signed at the same time as Exhibit 13, further reflects that the signatures of both Jesus and Maritza were obtained by sending the Certification of Trust to one email

address: . Defendants thus argue that Plaintiff does not plead in its SAC that Maritza was a recipient of the email address , and the fact that the signatures of both Jesus and Maritza were obtained from one email address at the exact same time is evidence in exhibits attached to the SAC which contradict Plaintiff's allegation in the SAC that Maritza reviewed and signed Exhibit 13. (Id., ¶ 40)

The Court disagrees with Defendants. The SAC alleges that Maritza did sign the Second Guaranty and Exhibit 13 reveals her signature. The fact that the contract was sent was to Jesus' email address does not conclusively establish that Maritza did not sign the agreement. The SAC alleges that Jesus and Maritza were permitted to sign the Certificate of Trust because they were on vacation on February 8, 2024. (SAC, ¶ 34.) This is the same date Maritza allegedly signed the Second Guaranty. (Id., ¶ 26.) Thus, it is clear Jesus and Maritza were together when she allegedly signed the Second Guaranty that was sent to Jesus' email. As the SAC alleges they were together at the time, Maritza could have signed it when Jesus passed her the device after accessing it through his email address. For purposes of demurrer, where the Court takes all of the properly pleaded facts and implied facts as true, the SAC is sufficient, and is not contradicted by the attachment showing the contract was sent to Jesus' email address. If Defendants believe Maritza did not sign the agreement and Jesus signed on her behalf, they may file a dispositive motion such as a motion for summary judgment and present evidence to support that assertion.

Based on the foregoing, Defendants' Demurrer to the SAC is OVERRULED.

III.

CONCLUSION

Defendants Jesus Modesto Garcia and Maritza Garcia's, as Trustees of the Jesus Modesto and Maritza Garcia Living Trust dated March 12, 2014, Demurrer to the Second Amended Complaint is OVERRULED.

Superior Court of California

County of Los Angeles

Department 732

American Business Bank,

Plaintiff,

v.

Los Angeles Product Distributors,
LLC, et al.

Defendants.

Case No.:
25STCV01594

Hearing Date: August 10, 2026

[TENTATIVE] RULING RE:

Defendants Jesus Modesto Garcia and Maritza
Garcia, as Trustees, Demurrer to the Second Amended Complaint

Defendants Jesus Modesto Garcia and Maritza Garcia's, as
Turstees of the Jesus Modesto and Maritza Garcia Living Trust dated March 12,
2014, Demurrer to the Second Amended Complaint is OVERRULED.

Defendants to give notice.

Dated: August 10, 2026

Hon.
Richard S. Kemalyan

Judge
of the Superior Court